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Trade with Rome, China and Europe

Roman and Greek traders frequented the ancient Tamil country and forged trade relationship with ancient Kings of Pandiya, Chola and Chera dynasties. Cholas had a strong trading relationship with Chinese Song Dynasty. The cholas conquered the Sri Vijaya Empire of Indonesia and Malaysia to secure a sea trading route to China.

During the 16th and 18th centuries, India's overseas trade expanded due to trading with European companies. The discovery of new all - sea routes from Europe to India via Cape of Good Hope by Vascoda Gama had far – reaching impact on the civilized world. The arrival of Portuguese in India was followed by the advent of other European communities. India's maritime trade was a monopolized one over Europeans and at one stage the global trade share of India was 55 per cent which is just 2 per cent in 21st century. The European merchants who came to India were not only individual merchants but also represented their respective governments. They gained a strong foothold in India's maritime trade by virtue of their strong naval power. In course of time their commercial motives turned into territorial ambition like the East India Company which became the British Empire here.

Textiles and ship building earned name and fame in the 17th and 18th centuries. Britishers gradually abolished Princely order in the Indian territories. Thus the demand for Indian goods declined during the British rule. Britishers put in place policies prohibiting the export of some of the popular goods like Indian textile goods, handicrafts, to Great Britain. Between early 1600 and mid – 19th century, the British East India company led establishment and expansion of foreign trade all over Asia. Although initial interest of the East India Company was aimed at reaping profits, their single minded focus was on establishing a trade, monopoly throughout Asia Pacific made them heralding agent of British Colonial Imperialism.

1.02 Barter System

Goods were exchanged for goods prior to invention of money. Barter system worked on certain conditions mentioned below.

1. Each party to barter must have surplus stocks for the trade to take place.
2. Both the buyers and sellers should require the goods each other desperately i.e., double coincidence of wants
3. Buyer and seller should meet personally to effect the exchange.

Constraints in Barter System

The barter system envisages mutual exchange of one's goods to other without the intervention of money as a medium of exchange. It imposes certain constraints in the smooth flow of trade as explained below.

1. Lack of double coincidence of Wants

Unless two persons who have surplus have the demand for the goods possessed by each other, barter could not materialize. For instance 'A' is having a surplus of groundnut and 'B' is possessing rice in surplus. In this case A should be in need of rice possessed by B as the latter should desperately need groundnut possessed by A. If this "coincidence of wants" does not exist, Barter cannot take place.